



UNITED STATES  
NUCLEAR REGULATORY COMMISSION  
REGION III  
2443 WARRENVILLE ROAD, SUITE 210  
LISLE, ILLINOIS 60532-4352

February 20, 2024

Mike Mlynarek  
Site Vice President  
Holtec Decommissioning  
International, LLC  
Palisades Nuclear Plant  
27780 Blue Star Memorial Highway  
Covert, MI 49043-9530

SUBJECT: NRC INSPECTION REPORT NO. 05000255/2023004(DRSS) – HOLTEC  
DECOMMISSIONING INTERNATIONAL, LLC, PALISADES NUCLEAR PLANT

Dear Mike Mlynarek:

On November 30, 2023, the U.S. Nuclear Regulatory Commission (NRC) completed onsite inspection activities for October 10, 2023, through November 30, 2023, at the permanently shut-down Palisades Nuclear Plant in Covert, Michigan. The purpose of the inspection was to determine whether decommissioning activities were conducted safely and in accordance with NRC requirements. The enclosed report presents the results of this inspection, which were discussed with you and other members of your staff on January 23, 2024.

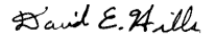
During the inspection period, the NRC inspectors reviewed the following aspects of onsite activities: problem identification and resolution; fire protection; and decommissioning performance. The inspection consisted of an examination of activities at the site as they relate to safety and compliance with the Commission's rules and regulations. Areas examined during the inspection are identified in the enclosed report. Within these areas, the inspection consisted of a selective examination of procedures and representative records, reviewing work activities, and interviews with personnel.

Based on the results of this inspection, the NRC identified one Severity Level (SL) IV violation of NRC requirements. However, because of the very low safety significance and because the issue was entered into your corrective action program (CAP), the NRC is treating the issue as a Non-Cited Violation (NCV), in accordance with Section 2.3.2 of the NRC's Enforcement Policy.

No response is required for the NCV. However, if you contest the violation or significance of the NCV, you should provide a response within 30 days of the date of this inspection report, with the basis for your denial, to the U.S. Nuclear Regulatory Commission, ATTN: Document Control Desk, Washington, DC 20555-0001, with copies to the Regional Administrator, Region III; and the Director, Office of Enforcement.

This letter, its enclosure, and your response (if any) will be made available for public inspection and copying at <http://www.nrc.gov/reading-rm/adams.html> and at the NRC Public Document Room in accordance with Title 10 of the *Code of Federal Regulations* (CFR) 2.390, "Public Inspections, Exemptions, Requests for Withholding."

Sincerely,

A handwritten signature in dark ink, appearing to read "David E. Hills".

Signed by Hills, David  
on 02/20/24

David E. Hills, Chief  
Decommissioning, Reactor, and ISFSI HP Branch  
Division of Radiological Safety and Security

Docket No: 50-255  
License No: DPR-20

Enclosure:  
IR Nos. 05000255/2023004 (DRSS)

cc w/encl: Distribution via LISTSERV®

Letter to Mike Mlynarek from David Hill dated February 20, 2024.

SUBJECT: NRC INSPECTION REPORT NO. 05000255/2023004(DRSS) – HOLTEC  
DECOMMISSIONING INTERNATIONAL, LLC, PALISADES NUCLEAR PLANT

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U.S. NUCLEAR REGULATORY COMMISSION  
REGION III

Docket No: 50-255

License No: DPR-20

Report No: 05000255/2023004(DRSS);

Enterprise Identifier: I-2023-004-0068

Licensee: Holtec Decommissioning International, LLC

Facility: Palisades Nuclear Plant

Location: Covert, Michigan

Dates: October 10, 2023, to November 30, 2024

Inspectors: Gehan Flanders, Health Physicist  
Valerie Myers, Senior Health Physicist

Approved by: David E. Hills, Chief  
Decommissioning, Reactor, and ISFSI HP Branch  
Division of Radiological Safety and Security

Enclosure

## **EXECUTIVE SUMMARY**

### **Palisades Nuclear Plant**

#### **NRC Inspection Report Nos. 05000255/2023004(DRSS)**

The Palisades Nuclear Plant is permanently shut-down and defueled power reactor. This periodic safety inspection reviewed licensed activities associated with decommissioning performance; occupational radiation exposure; radiological surveys; and radioactive waste treatment, effluent, and environmental monitoring.

#### **Problem Identification and Resolution**

- Issues were identified by the licensee at appropriate thresholds and entered into the corrective action program (CAP). Issues were screened and prioritized commensurate with safety significance. Licensee evaluations determined the significance of issues and included appropriate remedial corrective actions.

#### **Fire Protection Program**

- An effective decommissioning Fire Protection Program was maintained and implemented that reasonably prevented fires; provided the capability to rapidly detect, control, and extinguish fires that could result in radiological hazards; and ensured the risk of fire-induced hazards to the public, environment, and plant personnel were minimized.

#### **Decommissioning Performance and Status Review**

- The NRC identified one SL IV NCV of 10 CFR 50.82(a)(8)(i) for using the Palisades Decommissioning Trust Fund (DTF) for expenses that were not legitimate decommissioning activities.

## Report Details

### Summary of Plant Activities

During this inspection period, the licensee continued activities associated with Period 2 of the Post Shutdown Decommissioning Activities Report (PSDAR). No major decommissioning activities occurred during the inspection period.

#### 1.0 Problem Identification and Resolution at Permanently Shutdown Reactors (IP 40801)

##### 1.1 Inspection Scope

The inspectors performed walkdowns, reviewed documents, and interviewed plant personnel to assess the licensee's performance in the following areas:

- Effectiveness at preventing, detecting, and correcting issues;
- Identifying and evaluating potential 10 CFR Part 21, "Reporting of Defects and Non-Compliance Issues;"
- Audits and assessments evaluating the Corrective Action Program and Quality Assurance Program; and
- The licensee's safety culture

##### 1.2 Observations and Findings

The inspectors observed several corrective action program (CAP) management review meetings to assess the manner in which management is performing oversight of the CAP. The inspectors reviewed various issues entered into the CAP to assess whether issues were being assigned the appropriate significance level, investigation level, and corrective actions. There were no root cause evaluations or apparent cause evaluations conducted during the inspection period; however, the inspectors reviewed various work group evaluations. Corrective actions were also reviewed to verify that the assigned corrective actions were completed as described in the CAP documents. Through document review and discussions with staff, the inspectors evaluated the licensee's process for reviewing 10 CFR Part 21 issues as well as completing audits in accordance with the quality assurance program manual. The inspectors reviewed the most recent audits of the CAP and Quality Assurance Program. The inspectors also evaluated the licensee's safety culture through review of programs such as the employee concerns program, safety culture surveys conducted by the licensee, and discussions with site staff.

No findings were identified.

##### 1.3 Conclusions

Issues were identified by the licensee at appropriate thresholds and entered into the CAP. Issues were screened and prioritized commensurate with safety significance. Licensee evaluations determined the significance of issues and included appropriate remedial corrective actions.

## **2.0 Fire Protection Program at Permanently Shutdown Reactors (IP 64704)**

### **2.1 Inspection Scope**

The inspectors performed walkdowns, reviewed documents, and interviewed plant personnel to assess the licensee's performance in the following areas:

- Fire protection program met Technical Specifications, PSDAR, and fire hazard analyses requirements;
- Changes to the Fire Protection Program did not reduce the effectiveness of the program;
- Assessments were being performed in accordance with 10 CFR 50.48(f)(2);
- Fire protection detection and suppression systems were effectively maintained, surveillances were performed, and systems were capable of performing their intended function;
- Fire barriers were effectively maintained;
- Firefighting equipment was properly inventoried, inspected, tested, and maintained;
- Administrative controls were in place to minimize the occurrence of a fire; and
- Staffing and training requirements were consistent with the Fire Protection Program and Emergency Plan.

The inspectors verified that when issues were identified, licensee personnel appropriately documented the issue in the CAP.

### **2.2 Observations and Findings**

The inspectors walked down the fuel handling building and east radwaste building to verify that fire protection equipment aligned with programmatic requirements and reviewed surveillance records for fire detection and suppression equipment in these areas. The inspectors reviewed current fire brigade training and drill participation records for each crew. Evaluations for modifications to the fire protection program for the feedwater purity building and cooling towers were reviewed to verify that the changes did not reduce the effectiveness of the fire protection program. The most recent internal audits of the fire protection program were reviewed to assess the licensee's ability to self-identify issues.

No findings were identified.

### **2.3 Conclusions**

An effective decommissioning Fire Protection Program was maintained and implemented that reasonably prevented fires; provided the capability to rapidly detect, control, and extinguish fires that could result in radiological hazards; and ensured the risk of fire-induced hazards to the public, environment, and plant personnel were minimized.

### **3.0 Decommissioning Performance and Status Review (IP 71801)**

#### **3.1 Inspection Scope**

The inspectors reviewed documents and interviewed plant personnel to assess the licensee's performance in the following areas:

- Withdrawals from the Decommissioning Trust Fund (DTF) were consistent with the requirements established in 10 CFR 50.82(a)(8).

The inspectors verified that when issues were identified, licensee personnel appropriately documented the issue in the CAP.

#### **3.2 Observations and Findings**

In inspection report 05000255/2023003 (ML23276B452), an unresolved item was identified involving withdrawals from the DTF in the amount of approximately \$53,500 for seven items identified as restart projects. This item was being tracked by NRC to determine if those withdrawals were used for legitimate decommissioning activities and allowable under NRC regulations (URI 05000255/2023003-01, Review of Decommissioning Trust Fund Withdrawals). As the NRC continued its review of withdrawals from the DTF, the inspectors identified two instances in which the DTF was used for voluntary contributions to community events/support activities, totaling approximately \$3,500.

With respect to the above restart expenditures, the licensee had a system in place to control the source of payments but had inadvertently used the DTF due to mis-coding errors. The licensee promptly arranged for replacement of those funds in the DTF and performed additional training of staff. The improper use of the DTF for voluntary contributions to community events/support activities reflected non-conservative decision making with respect to the DTF. Once brought to its attention during the NRC inspection, the licensee re-evaluated and arranged for replacement of those funds in the DTF.

#### **Violation**

The NRC identified one Severity Level IV non-cited violation (NCV) of 10 CFR 50.82(a)(8)(i) because HDI used DTF for expenses that were not legitimate decommissioning activities. Specifically, HDI used funds for restart activities and voluntary contributions to community events/support activities that were not related to removing the facility or site safely from service and reducing residual activity to a level that permits release of the property for either unrestricted or restricted conditions and termination of the license. This violation closes out URI 05000255/2023003-01, Review of Decommissioning Trust Fund Withdrawals.

10 CFR 50.82(a)(8)(i) states, in part, that decommissioning trust funds may be used by licensees if the withdrawals are for expenses for legitimate decommissioning activities consistent with the definition of decommissioning in 10 CFR 50.2.

10 CFR 50.2 defines decommissioning as removing a facility or site safely from service and reducing residual radioactivity to a level that permits—

- (1) Release of the property for unrestricted use and termination of the license; or
- (2) Release of the property under restricted conditions and termination of the license.

Contrary to the above, between January 2023 and March 2023, HDI used the Palisades DTF for expenses that were not legitimate decommissioning activities. Specifically, HDI used decommissioning funds for some activities identified as being restart activities; as well as voluntary contributions to community events/support activities. These expenditures were not related to removing the facility or site safely from service, and reducing residual activity to a level that permits release of the property for either unrestricted or restricted conditions and termination of the license.

This violation was determined to be a Severity Level IV violation. The NRC considered NRC Enforcement Policy example 6.3.c.1, dated January 14, 2022, regarding a significant failure to meet decommissioning as required by regulation or license condition for materials sites. Additionally, the NRC considered the legitimacy of use, the dollar amount involved compared to the total DTF amount, and programmatic aspects in making this determination. The NRC determined that the DTF was illegitimately used, \$57,000 is a small fraction of the Palisades DTF and did not represent a significant failure to meet decommissioning, and that this was not a single failure event, there were numerous occurrences. HDI entered this issue into the CAP as PAL-10248 and PAL-01605 and initiated corrective actions to restore the funds back into the DTF.

Since the licensee placed the deficiency into its CAP, the violation was of very low safety significance, and because the violation was not willful or repetitive, this violation is being treated as an NCV, consistent with Section 2.3.2.a of the NRC Enforcement Policy.  
**(NCV 05000255/2023004-01, Improper Use of Decommissioning Trust Fund).**

### 3.3 Conclusions

One Severity Level IV NCV of 10 CFR 50.82(a)(8)(i) was identified because HDI used the DTF for expenses that were not legitimate decommissioning activities.

### 4.0 **Exit Meeting**

The inspectors presented the results of the inspection to Mike Mlynarek and other members of the Palisades Nuclear Plant staff at an exit meeting on January 23, 2024. The licensee acknowledged the results presented and did not identify any of the information discussed as proprietary.

ATTACHMENT: SUPPLEMENTAL INFORMATION

## **SUPPLEMENTAL INFORMATION**

### **PARTIAL LIST OF PERSONS CONTACTED**

M. Mlynarek, Site Vice President  
M. Schultheis, Regulatory Assurance Manager  
G. Wright, Radiation Protection Manager  
J. Miksa, Regulatory Assurance Engineer  
B. Noval, Fleet Licensing Director  
S. Summers, Security Manager  
J. Borah, Maintenance Manager  
D. DeBusscher, Operations Shift Manager  
K. Block, Nuclear Oversight Manager

### **INSPECTION PROCEDURES (IPs) USED**

|          |                                                                               |
|----------|-------------------------------------------------------------------------------|
| IP 40801 | Problem Identification and Resolution at Permanently Shutdown Reactors        |
| IP 64704 | Fire Protection Program at Permanently Shutdown Reactors                      |
| IP 71801 | Decommissioning Performance and Status Reviews at Permanently Shutdown Plants |

### **ITEMS OPENED, CLOSED, AND DISCUSSED**

| <u>Opened</u>       | <u>Type</u> | <u>Summary</u>                             |
|---------------------|-------------|--------------------------------------------|
| 05000255/2023004-01 | NCV         | Improper Use of Decommissioning Trust Fund |

| <u>Closed</u>       | <u>Type</u> | <u>Summary</u>                                   |
|---------------------|-------------|--------------------------------------------------|
| 05000255/2023004-01 | NCV         | Improper Use of Decommissioning Trust Fund       |
| 05000255/2023003-01 | URI         | Review of Decommissioning Trust Fund Withdrawals |

### **PARTIAL LIST OF DOCUMENTS REVIEWED**

The following is a partial list of documents reviewed during the inspection. Inclusion on this list does not imply that the NRC inspectors reviewed the documents in their entirety, but rather that selected sections or portions of the documents were evaluated as part of the overall inspection effort. Inclusion of a document on this list does not imply NRC acceptance of the document or any part of it, unless this is stated in the body of the inspection report.

- PAL-01007, Observation during QA fire protection audit, 2/27/2023
- PAL-01009, South Yard Fencing, 02/28/2023
- Fire Brigade Qualification Matrix, 10/10/2023
- Fire Brigade Training Tracker, 10/10/2023
- Audit 2023-I-01, Fire Protection, 03/15/2023
- TE-PAL-FPP-001, Permanently abandon and remove feedwater purity building fire protection headers, fire extinguishers and fire detectors, 02/07/2023

- TE-PAL-FPP-003, Drain and Permanently Isolate the Cooling Tower Fire Loop, 04/06/2023
- East Radwaste Pre-Fire Plan
- Refueling and Spent Fuel Pool Area Pre-Fire Plan
- Transformer Area Pre-Fire Plan
- Fire Drill Reports for 09/21/2023, 09/27/2023 and 09/28/2023
- FP-PE-12, Dry Chemical Fire Extinguishers, Revision 14
- FP-PE-14, Carbon Dioxide Fire Extinguishers, Revision 13
- FPIP-4, Fire Protection Systems and Fire Protection Equipment, Revision 43
- WO 52940605, Fire Hose Reel/Rack and Hose Inspection, 03/11/2022
- WO 52979186, Functional Test of Fire Detection Systems Outside Containment, 12/20/2022
- DSP-RA-001, Corrective Action Program, Revision 0 and 1
- DSP-RA-002, Employee Concerns Procedure, Revision 0
- EN-LI-108-01, 10 CFR 21 Evaluations and Reporting
- HSP-101802, Audits, Revision 7
- Master Work Order Database
- MRC Reports for 11/15/2023, 11/27/2023, and 11/29/2023
- Palisades 2022-I-17 QA Program Internal Audit Checklist
- Quality Assurance Program Audit 2022-I-17 Report, 01/26/2023
- PI&R Self-Assessment, 12/05/2022
- PAL-00837, QA Program Audit, 10/25/2022
- PAL-01007, QA Fire Protection Audit, 02/27/2023
- PAL-01018, Part 37 Self-Assessment, 03/07/2023
- PAL-01111, 8 hour Non-Emergency Report to NRC, 05/03/2023
- PAL-01112, Power Failure Phones, 05/03/2023
- PAL-01113, Work Crew Inadvertently Crossed HRA Posting, 05/03/2023
- PAL-01142, EOF to Control Room Radio, 05/17/2023
- PAL-01258, FT-1818 Out of Tolerance, 07/18/2023
- PAL-01422, Operating Experience Reviews, 10/09/2023
- PAL-01538, Self-Assessment on Source Inventory and Control, 11/06/2023
- Post Shutdown Decommissioning Activities Report (PSDAR) including Site-Specific Decommissioning Cost Estimate for Palisades Nuclear Plant, 12/23/2020
- Status of Decommissioning Funding for Reactors and Independent Spent Fuel Storage Installations Report, 03/31/2023
- PAL-01248, Decommissioning Trust Fund Usage, 07/13/2023
- Master Decommissioning Trust Agreement changes for Indian Point Nuclear Generating Units 1, 2 and 3, Pilgrim Nuclear Power Station, Palisades Nuclear Plant, and the Non-Qualified Trust for Big Rock Point, 11/13/2023
- PAL-01605, NRC Request Charitable Donations Paid out of DTF, 11/30/2023

## **LIST OF ACRONYMS USED**

|       |                                                  |
|-------|--------------------------------------------------|
| ADAMS | Agencywide Document Access and Management System |
| CAP   | Corrective Action Program                        |
| CFR   | Code of Federal Regulations                      |
| DRSS  | Division of Radiological Safety and Security     |
| IP    | Inspection Procedure                             |
| IR    | Issue Report                                     |
| ISFSI | Independent Spent Fuel Storage Installation      |
| NRC   | U.S. Nuclear Regulatory Commission               |
| PSDAR | Post Shutdown Activities Report                  |
| RP    | Radiation Protection                             |
| DTF   | Decommissioning Trust Funds                      |